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30-2021-01208045-CU-BT-CXC

SUPERIOR COURT OF THE STATE OF CALIFORNIA Judge Peter Wilson
IN AND FOR THE COUNTY OF ORANGE

ABIGAIL MAMBOLEO, a California citizen,
individually and on behalf of all others similarly
situated,

Plaintiff,

v.

PACIFIC LIFE INSURANCE COMPANY, a
California citizen,

Defendant.

Case No. _____

CLASS ACTION COMPLAINT

DEMAND FOR JURY TRIAL

1. Fraud, Deceit, and Intentional Misrepresentation
2. Negligent Misrepresentation
3. Violation of Cal. Bus. & Prof. Code § 17200, et. seq.

Plaintiff Abigail Mamboleo (“Mamboleo” or “Plaintiff”), by and through her undersigned counsel, brings this action on behalf of herself and all others similarly situated (collectively with Plaintiff, the “Class Members”) against Defendant Pacific Life Insurance Company (“PacLife”).

CLASS ACTION COMPLAINT

1 Plaintiff alleges the following based on information and belief, except that allegations pertaining
2 to Plaintiff are based on personal knowledge.

3 NATURE OF THE ACTION

4 1. Plaintiff seeks redress on behalf of herself and all similarly situated purchasers of
5 certain indexed universal life (“IUL”) insurance policies PacLife marketed and issued as its
6 “Pacific Discovery Xelerator IUL Policy” (“the PDX Policy”), as victims of a deceptive scheme
7 in which PacLife, among other things, provided illustrated performance charts (“illustrations”) that
8 deceptively projected high profitability based on undisclosed and baseless premises. Due to
9 PacLife’s deceptive conduct, and to the onerous surrender terms that effectively leave the
10 Policyowner with no choice, Plaintiff and other similarly situated PDX Policyowners have been
11 forced to pay thousands of dollars in massive, hidden costs that essentially eliminate the value in
12 the PDX Policies. In short, PacLife defrauded the PDX Policyholders.

13
14 2. According to one respected commentator, PDX is “***the riskiest and most leveraged***
15 ***IUL product in the industry***”¹ yet “***impossible to understand, impossible to explain to clients and***
16 ***impossible [for agents] not to sell, simply because it illustrates the best.***”² The PDX Policies are
17 impossible to understand and explain to consumers because PacLife, in its uniform sales
18 illustrations, intentionally overstates future performance while failing to disclose critical policy
19 attributes and components that, collectively, dramatically increase the costs and risks associated
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24 ¹ Bobby Samuelson, *PacLife PDX – Part 5 – More to the Story*, THE LIFE PRODUCT REVIEW (Feb.
25 19, 2018), <https://lifeproductreview.com/2018/02/19/pdx-review-part-5-more-to-the-story> (last
visited 6/29/21).

26 ² Bobby Samuelson, *PacLife PDX – Part 1 – Intro to the PDX Series*, THE LIFE PRODUCT REVIEW
27 (Jan. 17, 2018), <https://lifeproductreview.com/2018/01/17/intro-to-the-pdx-series> (last visited
6/29/21).

1 with these highly leveraged insurance products. Accordingly, as the same commentator concluded,
2 ***“no product has been more misunderstood, misrepresented or mis-sold than PDX.”***³

3 3. Using uniformly misleading marketing materials and sales illustrations, PacLife
4 deceptively misrepresented that the PDX Policies would produce outsized returns while knowing
5 that the PDX Policies would not and could not perform as represented given (a) the excessive,
6 embedded, and undisclosed base charges, (b) the undisclosed risks to the illustrated performance,
7 and (c) PacLife’s deceptive utilization of a mysterious multiplier—the so-called “Performance
8 Factor”—through which PacLife circumvented insurance regulations and fraudulently inflated the
9 illustrated performance of the PDX Policies.
10

11 4. In particular, the Performance Factor is a subterfuge that PacLife developed to
12 circumvent and evade Actuarial Guideline 49 (“AG 49”) promulgated by the National Association
13 of Insurance Commissioners (“NAIC”), which was specifically adopted to curtail misleadingly
14 excessive illustrations of interest rates in IUL illustrations, including illustrations of the historical
15 performance of the S&P 500 index. To that end, AG 49 limits the annual rate of index-based
16 interest that may be used to calculate projected policy values in IUL illustrations.
17

18 5. AG 49 governs all IUL illustrations generated on or after September 1, 2015.

19 6. In 2017, PacLife began its attempt to circumvent and evade AG 49 to sell the PDX
20 Policies, using the undefined Performance Factor to boost illustrated policy performance beyond
21 the limits imposed by AG 49. By means of this deceptive and unexplained artifice, PacLife sold
22 thousands of PDX Policies based on misleading illustrations showing outsized yet unattainable
23 returns far higher than the limit imposed by AG 49.
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27 ³ *Id.*

1 7. The PDX Performance Factor operates as a multiplier, which is applied to the
2 otherwise applicable index credits after the third policy year and is guaranteed to be not less than
3 1. (As explained below, this is an illusory guarantee that permits PacLife to unilaterally eliminate
4 any positive impact of the multiplier.) Like a turbocharger, the Performance Factor has a huge,
5 albeit unexplained, impact on the illustrated performance of the PDX Policies. Furthermore,
6 without revealing any details about this embedded multiplier, PacLife claims that it can change
7 the Performance Factor at any time based on its unbridled discretion.
8

9 8. Despite the multiplier’s critical impact on the illustrated and represented
10 performance of the PDX Policies, **nowhere** in the PacLife illustrations or uniform PDX marketing
11 materials or policy forms is the Performance Factor explained or defined. Nor do PacLife’s
12 marketing materials disclose the value of the assumed Performance Factor or the formula used to
13 determine that value. That is because, as alleged with particularity below, the Performance Factor
14 is intentionally misleading and deceptive. Among other things, the Performance Factor is premised
15 on assumed leverage associated with unsustainable option trading profits that are very unlikely to
16 be attained and is skewed to defer the illustrated, non-guaranteed, account value enhancements for
17 such long durations that by the end, most elderly Policyholders will have died. Once consumers
18 purchase a PDX Policy, they are locked into the Policy by onerous surrender penalties that
19 continue for ten years.
20

21 9. PacLife’s use of such multipliers circumvents and contravenes the restrictions of
22 AG 49 and is so obviously abusive and misleading that the NAIC has been forced to promulgate
23 Actuarial Guideline 49-A—which, effective December 14, 2020, expressly outlaws the deceptive
24 practice that PacLife used to “win” the illustration performance war with competing insurers.
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1 10. The undisclosed risks and leverage associated with the PDX Policies are further
2 exacerbated by the extraordinarily high base policy charges, which are among the highest of any
3 IUL products. These excessively high, current policy charges are not quantified or specified in the
4 policy contracts or illustrations. Furthermore, the policy charges extend for the entire life of the
5 PDX Policies.

6 11. In addition, the excessive policy charges are not devoted solely to covering
7 administrative expense or the cost of providing insurance coverage under the PDX Policies.
8 Instead, a substantial portion of the undisclosed current policy charges are used by PacLife to
9 purchase additional call options, the cost of which varies with changes in prevailing market
10 volatilities, interest rates, and other market factors. Consequently, the PDX account values are in
11 fact subject to diminution based on market risk — contrary to PacLife’s fundamental promotional
12 representations that the PDX Policy account values are fully protected from market risk by
13 PacLife’s 0% minimum interest crediting guarantee. Moreover, to spike the illustrated
14 performance of the PDX Policies, PacLife assumes that the call options will generate profits of
15 50% *in perpetuity*, on *each* transaction, an indefensible assumption that is unsupportable,
16 unsustainable, and actuarially unreasonable. The high policy charges and assumption of inflated
17 option trading profits operate in tandem to create a tremendous degree of leverage in the PDX
18 Policy performance, resulting in enormous, undisclosed risks — including substantial market
19 risks—to the PDX account values and PDX Policy performance.

20 12. Consequently, if the index to which the PDX account values are allocated performs
21 poorly, or if the unsustainable option profits⁴ assumed by PacLife fail to materialize, the high
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26 ⁴ PacLife does not retain the option profits that it assumes will generate the unsustainably high
27 account values in the PDX Illustrations. Rather, PacLife baselessly assumes that it will earn a 50%

1 policy charges would result in **negative** returns on the PDX Policies’ account values and would
2 cause the Policy to lapse unless the Policyowner pays additional hefty premiums—directly
3 contradicting PacLife’s false representations that there is no downside market risk associated with
4 the PDX Policies. In addition, because the Performance Factor is applied as an undisclosed
5 multiplier to the policy account values, the PDX illustrations create the false impression that the
6 projected double-digit returns are “conservative” based on the **disclosed** interest crediting rate
7 (slightly higher than 6%) when, in reality, they are juiced by the **undisclosed** Performance Factor
8 multiplier, making the PDX Policies the riskiest IUL product in the industry.
9

10 13. Compounding the foregoing, PacLife structured the PDX Policies in a way that
11 incentivizes its sales agents to heap even more risk on the unwitting Policyowners. The death
12 benefits for the PDX Policies can be allocated between less costly term coverage under an Annual
13 Renewable Term Rider and far more costly coverage as Basic Life Coverage under the base policy.
14 Because agent commissions are tied to Policy charges during the first ten policy years, a higher
15 face amount of the base Policy translates into higher agent compensation and much higher Policy
16 charges. In fact, every extra dollar in agent compensation translates into about two more dollars in
17 Policy charges to the Policyowner. The increased PDX Policy charges resulting from the skewed
18 allocation of death benefits to the base policy is not disclosed, described or defined in the PacLife
19 illustrations.
20

21 14. As a consequence, PacLife offers agents higher commissions — up to three times
22 higher — to steer customers into a PDX Policy with all or a substantial portion of the face amount
23 allocated to base coverage, even though the Policy charges would be far less under a blended
24

25 _____
26 annual profit on its options trades each and every year for the next thirty to fifty years and that
27 those profits will fund the Performance Factor that is used to artificially inflate the illustrated PDX
28 Policy account values.

1 structure. Although the PDX Policyowner pays higher Policy charges and incurs far more risk by
2 virtue of the additional leverage, the Performance Factor conceals the undisclosed increased risks
3 and allows PacLife to deceptively portray the product with illustrations that artificially inflate long-
4 term performance.

5 15. Through the foregoing misleading and deceptive practices, PacLife made
6 materially false and misleading representations and omissions, which were substantial factors in
7 inducing Plaintiff, and thousands of similarly situated residents of California, to purchase PDX
8 Policies. Therefore, Plaintiff seeks damages, rescission, restitution, and other appropriate forms
9 of equitable relief to remedy PacLife's deceptive sales of PDX Policies to California residents.
10

11 **THE PARTIES**

12 16. Plaintiff Mamboleo is a citizen of Los Angeles County, California.

13 17. Defendant PacLife is a life insurance company incorporated in Nebraska with its
14 principal place of business in Orange County, California. PacLife is thus a citizen of both Nebraska
15 and California.
16

17 **JURISDICTION AND VENUE**

18 18. The Court has subject matter jurisdiction over Plaintiff's claims pursuant to
19 California Code of Civil Procedure § 410.10 and the California Constitution, Article VI § 10,
20 because this case is a cause not given by statute to other trial courts.

21 19. The Court has personal jurisdiction over PacLife because it is headquartered in
22 California and transacts substantial business in California, including in Orange County. PacLife
23 markets, promotes, sells, and distributes its PDX Policies in and from Orange County, causing
24 Defendant to incur both obligations and liabilities in Orange County.
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1 20. Venue is proper in this Court because: PacLife is headquartered in Orange County,
2 California; PacLife systematically and continuously transacts business in Orange County; the PDX
3 Policies were designed in Orange County; and the actuarial, marketing and sales activities of
4 PacLife occurred in Orange County.

5 21. This case is not removable to federal court under the Class Action Fairness Act
6 (CAFA) because, among other things, Plaintiff, the members of the putative Class, and PacLife
7 are all citizens of the State of California. *See* 28 U.S.C. § 1332(d)(4).
8

9 **FACTUAL ALLEGATIONS**

10 **A. Background on Indexed Universal Life Policies**

11 22. Traditionally, life insurance companies sold two types of policies: term and whole
12 life insurance. Term life insurance is issued for a term of years, normally building up no cash value
13 and expiring without value. Whole life insurance provides coverage for life and provides an
14 increasing cash value that is available when needed. The premiums remain the same throughout
15 the life of the policy.
16

17 23. In the early 1980s, life insurance companies began selling universal life policies.
18 Universal life policies combine aspects of term life insurance (life insurance policies that pay a
19 benefit in the event of the death of the insured during a specified term) with an interest-bearing
20 account into which premium payments are made. As a result, policyholders may adjust allocations
21 of their contributions between the “insurance” component of their policy and the savings or
22 “investment” component of their policy. In addition, policyholders can adjust both the amount and
23 frequency of their premium payments so long as the policy value is sufficient to cover monthly
24 deductions consisting of a cost of insurance charge and an administrative fee. By 1985, universal
25 life sales had largely displaced sales of traditional life insurance products.
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1 24. To boost sales, insurance companies in the late 1990s developed IUL policies to
2 offer more attractive illustrated interest crediting rates. Sales of IUL policies exploded during the
3 2000s as insurance companies adopted aggressive illustration strategies depicting ever more
4 attractive projected returns to lure consumers into purchasing their IUL products.

5 25. As with fixed interest universal life policies, when a premium is paid on an IUL
6 policy, it is credited to an account from which monthly policy charges are deducted. Policyholders
7 may choose to allocate the policy values to: (a) an account that credits a fixed interest rate not less
8 than a modest guaranteed rate; and/or (b) an account that credits interest determined by changes
9 in a designated index, like the S&P 500 index, the Russell 1000 index, or a (more recently) a
10 “proprietary” index based on the reported prices of a collection of equities, bonds, commodities,
11 or other assets.

12 26. Most IUL policies limit the growth in account values allocated to equity-based
13 indices, however, by limiting the amount of appreciation to a non-guaranteed fixed percentage (the
14 “cap” rate) or by limiting the appreciation by crediting to the account value only a non-guaranteed,
15 specified percentage of the index’s annual or other periodic increase (the “participation” rate).

16 27. For an annual index account, the value of the selected index is recorded at the
17 beginning of the year and compared with the value at the end of the year. If the index increases
18 during the year, the interest is added to the cash value. Alternatively, index accounts may account
19 for gains based on a multiyear basis, such as every two or five years. IUL policies typically credit
20 the index interest to cash accumulations either once every year, two years, or five years and
21 guarantee that, regardless of decreases in the applicable index, the cash value account will not be
22 reduced by index-based losses.

28. With an IUL policy, the insurance company does not actually purchase equities or otherwise invest collected premiums in indexed investment funds. Instead, the company buys options on one or more indexes — typically call options — to hedge the company’s risk of having to make good on the guarantee that account values will not be reduced by declines in the index or indices selected by the policyowners. The insurance company therefore establishes an annual “option budget” that is essentially equal to the amount of interest declared for the policy’s fixed-interest account (based on the interest being earned by the company’s general account less a “spread” retained by the company as profit). The company then uses the budgeted amount to buy options to hedge its contractual obligations to the policyowner and adjusts the cap and/or participation rates to cover the cost of the options purchased by the company.⁵ The following graphic⁶ depicts this process:

Establishing floor, cap and participation rates:



⁵ Unlike a direct investment in an indexed fund, IUL policies do not receive dividends on the underlying index. This further limits the returns on the account value of an IUL policy.

⁶ *How caps and participation rates are determined*, SECURIAN FINANCIAL, <http://theasagroup.com/wp-content/uploads/How-Caps-and-Par-Rates-are-determined.pdf> (last visited 6/29/21).

B. The Explosion of Misleading Illustrations That Led to the Adoption of AG 49

29. As competition in the marketplace intensified in the years following the introduction of IUL products, insurance companies engaged in an intense battle to attract customers using deceptive sales illustrations and marketing materials depicting higher returns than their competitors. Insurance companies went to great lengths to extoll the supposedly exceptional performance of their IULs through a plethora of features and purported benefits calculated to portray superior investment returns and future account value growth.

30. As the competition intensified, some insurance companies began using illustrations and marketing materials that projected future policy values based on selected past periods when the S&P 500 or other applicable index had experienced non-representative increases that were unlikely to reoccur or were otherwise unsustainable under accepted finance principles. These assumptions were manipulated and deliberately cherrypicked by the insurance companies to artificially and misleadingly inflate the illustrated future performance of the policy values.

31. In addition, insurance companies began to manipulate the caps and participation rates used in their illustrations and marketing materials for the same deceptive purpose of inflating the illustrated future policy values to levels that were completely unsupported and unsustainable over the long term. To depict even higher unrealistic returns in their sales illustrations and marketing materials, insurance companies illustrated future values of their IUL products using “backtested” projections based upon more cherrypicked and non-representative historical periods of an index, like the S&P 500. The resulting illustrated crediting rates based on these backtested projections showed unrealistically high and unattainable projected values, thereby allowing insurance companies to gain an illusory illustration advantage over their competitors — even

1 though the insurance companies knew that it was highly unlikely that the policies would ever
2 achieve anything close to those projected values.

3 32. Industry commentators, well-respected conservative insurance companies, and
4 ultimately, insurance regulators recognized the ubiquitous and ever-increasing use of misleading
5 sales illustrations and marketing materials in the “illustration wars” that caused widespread
6 consumer deception. In 2014, the National Association of Insurance Commissioners convened the
7 Life Actuarial (A) Task Force (the “NAIC Task Force”) to study the growing problems associated
8 with deceptive IUL illustrations and formulate potential model regulations or guidance addressing
9 those problems.
10

11 33. MetLife, Northwestern Mutual, New York Life, and other NAIC Task Force
12 participants expressed their view that the IUL illustration practices prevalent in the industry had
13 the capacity to mislead prospective purchasers:
14

15 We believe that these high illustrated rates are highly unlikely to be achieved, which
16 could lead to widespread consumer disappointment and potentially damage the
reputation of the entire life insurance industry

17 Companies are justifying these aggressive illustrations by pointing to a historical
18 look-back of index returns, based on current non-guaranteed product parameters
and options prices.⁷

19 34. After considerable debate among the regulators, insurance companies, and other
20 participants, the NAIC adopted AG 49, effective as of September 1, 2015. To prevent cherry-picked
21 backtesting, AG 49 sets a ceiling on illustrated performance by limiting life insurance companies
22 illustrating IUL products to an objective “benchmark” rate based on the annual returns of the S&P
23 500 beginning 66 years prior to the current calendar year and calculated using the geometric
24

26 ⁷ Arthur D. Postal, *Insurers Take Aim At IUL Illustrations*, INSURANCENEWSNET (Dec. 23, 2014),
27 <https://insurancenewsnet.com/oarticle/insurers-take-aim-at-iul-illustrations> (last visited 6/29/21).

1 average for successive 25-year periods. Thus, AG 49 prohibits insurance companies from using
2 illustrations based on assumed crediting rates higher than the resulting benchmark rate. When AG
3 49 became effective, the resulting benchmark rate was approximately 6.85% and based on a 12%
4 illustrated cap rate.

5 35. According to the NAIC, “AG 49 was developed to bring uniformity to the
6 illustrations of policies tied to an external index or indices by providing a reasonable cap on the
7 illustrated credited rate.”⁸ Unfortunately for consumers, however, as alleged below, PacLife
8 promptly undertook to evade and circumvent the NAIC restrictions by launching new IUL
9 products that juiced illustrated performance beyond the AG 49 benchmark rate by using multipliers
10 and bonuses that were not disclosed to consumers.

11
12 **C. The California Insurance Code Requirements Governing Sales Illustrations and Sales**
13 **Practices of Insurance Companies and Their Agents**

14 36. The California Insurance Code (“Insurance Code”) contains numerous provisions
15 governing the format and content of sales illustrations and their use by insurance companies that
16 issue life insurance policies within California. The Insurance Code defines three types of
17 illustrations:

- 18
- 19 • A “basic illustration” means “a ledger or proposal used in the sale of a life insurance policy
20 that shows both guaranteed and nonguaranteed elements.” Cal. Ins. Code
21 § 10509.953(h)(1).
 - 22 • A “supplemental illustration” means “an illustration furnished in addition to a basic
23 illustration that meets the applicable requirements of this regulation, and that may be
24

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26 _____
27 ⁸ *Life Insurance Illustrations*, NAIC,
28 https://content.naic.org/cipr_topics/topic_life_insurance_illustrations.htm (last visited 6/29/21).

presented in a format differing from the basic illustration, but may only depict a scale of nonguaranteed elements that is permitted in a basic illustration.” *Id.* § 10509.953(h)(2).

- An “in force illustration” means “an illustration furnished at any time after the policy that it depicts has been in force for one year or more.” *Id.* § 10509.953(h)(3).

As used in the following allegations, the term “PDX Illustration” refers to the basic illustrations and supplemental illustrations used by PacLife and its agents in connection with the sale or issuance of PDX Policies to California residents.

37. Among many other requirements, the Insurance Code provides that: (a) life insurance illustrations may not “[u]se or describe nonguaranteed elements in a manner that is misleading or has the capacity or tendency to mislead,” *Id.* § 10509.955(b)(2); (b) basic illustrations must include a “brief description of any policy features, riders or options, guaranteed or nonguaranteed, shown in the basic illustration and the impact they may have on the benefits and values of the policy” and must also include “[i]dentification and a brief definition of column headings and key terms used in the illustration,” *id.* § 10509.956(b)(3), (4); (c) “[n]onguaranteed elements may be shown [in only the illustration] if described in the contract,” *id.* § 10509.956(e)(3); and (d) “[i]f an interest rate used to determine the illustrated nonguaranteed elements is shown, it shall not be greater than the earned interest rate underlying the disciplined current scale,” *id.* § 10509.955(c). The Performance Factor and policy charges are “nonguaranteed elements,” which is defined as “the premiums, benefits, values, credits or charges under a policy of life insurance that are not guaranteed or not determined at issue.” *Id.* § 10509.953(m).

38. The Insurance Code also prohibits insurance companies from causing or permitting to be issued, circulated, or used “any statement that is known, or should have been known, to be a misrepresentation of the . . . terms of a policy issued by the insurer [or] . . . [t]he benefits or

1 privileges promised thereunder.” *Id.* § 780. Furthermore, the Insurance Code requires that an
2 insurance company must “communicate to the . . . [purchaser], in good faith, all facts within [its]
3 knowledge which are or which [it] believes to be material to the contract and as to which [it] makes
4 no warranty, and which the [purchaser] has not the means of ascertaining.” *Id.* § 332.
5 “Concealment, whether intentional or unintentional, entitles the injured party to rescind
6 insurance.” *Id.* § 331.

7
8 39. The Insurance Code in addition specifically requires that, if a basic illustration is
9 used by an insurance agent in the sale of a life insurance policy and if the policy is applied for as
10 illustrated, a copy of the illustration, signed by the agent and the applicant, must be submitted to
11 the insurance company and provided to the applicant. *Id.* § 10509.958(a)(1). If no illustration is
12 used in the sale of the life insurance policy, the sales agent must so certify on a written form
13 submitted to the insurance company when the application is made, and if the policy is issued, a
14 basic illustration must be sent with the policy and signed by the policyowner no later than when
15 the policy is delivered to the owner. *Id.* § 10509.958(b)(1)-(2). Finally, the insurance company
16 must maintain a copy of the dually signed basic illustration and the agent certification for at least
17 three years after the policy is no longer in force. *Id.* § 10509.958(d).

18
19 **D. PacLife Develops the PDX Policies to Circumvent AG 49**

20 40. PacLife was among the insurance companies that AG 49 was designed to rein in.
21 Before AG 49, PacLife was illustrating its IUL products with non-guaranteed interest bonuses to
22 enhance its policies’ illustrated performance. These PacLife products included the Pacific Indexed
23 Accumulator 4 (designed to illustrate higher cash surrender values in shorter durations) and the
24 Pacific Indexed Performer LT (designed to illustrate higher cash surrender values in longer
25 durations). After AG 49 was adopted, PacLife promptly developed and launched the PDX IUL
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27
28

1 policy to circumvent and effectively evade the maximum illustrated crediting rate permitted by the
2 NAIC.

3 41. PacLife launched the PDX Policy on February 17, 2017. PacLife marketed the
4 PDX Policy as a cash accumulation product offering substantial, long-term, cash value
5 appreciation (as opposed to a low-cost death benefit), while preserving the Policy account values
6 from downside market risk by guaranteeing a 0% credited interest rate. To enhance the illustrated
7 performance of the PDX Policies, PacLife developed an opaque, internal multiplier called the
8 “Performance Factor.” The Performance Factor multiplies the otherwise applicable indexed credits
9 in durations after the third year of the policy by an unspecified, non-guaranteed factor.
10

11 42. PacLife employs the Performance Factor as an artifice to circumvent and evade the
12 very consumer protections that AG 49 was adopted to achieve. As one industry commentator
13 reported:
14

15 *Insurers appear to be sidestepping a recent rule [AG 49] meant to tamp down on*
16 *overly rosy projections of returns in indexed universal life policies via new product*
17 *features, an alarming trend that may deceive or confuse would-be buyers, advisors*
18 *said.*

19 ...

20 *Pacific Life Insurance Co., the largest IUL seller, has a PDX product with a*
21 *unique multiplier — its formula isn’t explicitly explained in the insurance*
22 *contract, yet it drives a “significant portion,” roughly 40%-50%, of the illustrated*
23 *performance, Mr. Love said[, VP of insurance analytics at ValMark Financial*
24 *Group].⁹*

25 43. PacLife appears to contend that PDX falls outside the limitation imposed by AG 49
26 because the Performance Factor is applied as a separate multiplier to the illustrated interest
27 crediting rate, rather than as an increase in the illustrated rate itself. That contention is incorrect;
28

26 ⁹ Greg Iacurci, *Insurers Bend Rule on Indexed Universal Life With New Policy Features*,
27 INVESTMENTNEWS (June 27, 2019) (emphases added), www.investmentnews.com/insurers-bend-rule-on-indexed-universal-life-with-new-policy-features-80182.

indeed, as the NAIC has since made clear, there is little or no functional difference between the two constructs.

44. To launch the new PDX IUL policy, PacLife issued a Bulletin to its life insurance producers and others on March 17, 2017, announcing that PDX Policies were available for new sales in California.¹⁰ According to the Bulletin, PDX offered “Top Tier Potential vs. Competition.” PacLife advised its agents that PDX, “[d]esigned for affluent clients . . . [,] *illustrates particularly well* when funded with large premiums within the policy’s first 7 to 10 years” based on the “performance factor that may increase policy performance on a nonguaranteed basis.” *Supra*, footnote 10, at 1.

45. PacLife went even further in a PowerPoint presentation directed to its sales agents when the PDX launched in February 2017.¹¹ The presentation contains the following bullet points that emphasized the illustrated performance of the PDX Policies generated by the Performance Factor:

- Competitive in a Low Interest Rate Environment
- New **Performance Factor** May Enhance the Indexed Interest Credits
- Competitive Performance When Comparing Same or Maximum Illustrated Rate
- Potential for High Accumulated Values

Supra footnote 11, at 12 (emphasis in original). That same presentation reminds PacLife agents that “[m]any times the ‘best’ illustrations wins.” *Id.* at 9.

¹⁰ *Top Tier Potential vs. Competition Introducing Pacific Discovery Xelerator IUL in California*, PACIFIC LIFE (Mar. 17, 2017), <http://www.marketing.pacificlife.com/documents/MasterLinks/BT-45570.pdf> (last visited 6/29/21).

¹¹ Lewis Tran, *Introducing Pacific Discovery Xelerator IUL (PDX)*, PACIFIC LIFE (Feb. 2017), <http://marketing.pacificlife.com/documents/MasterLinks/PT-45568.pptx> (last visited 6/29/21).

46. PacLife agents naturally jumped on the PDX bandwagon. One major Independent Marketing Organization posted the following newsletter¹² to its sales force, along with a chart purporting to show that PDX illustrated more favorably than any of the IUL products offered by PacLife's primary competitors:

We mentioned in the last month's newsletter that Pacific Life rolled out their new IUL product designed primarily for max-funded scenarios. Now that we have had a few days to digest it and run comparisons, the verdict is in: Pacific Life is **BACK!!!**

• • •

We can vary target premiums and how the DB [death benefit] is paid in different ways. *But even at an interest rate projection that is, in some cases, more than 1% less than the completion [sic], the income and compensation are far greater.*

How is this possible? Pacific Life uses an interest multiplier formula [i.e., the Performance Factor] that is made part of the contract and is based on age, sex, funding level, cash value, etc. that kicks in year 3.

Supra, footnote 12 (emphases added).

47. PacLife's PDX Illustrations thus depicted the most aggressive and highest projected cash values in the industry while creating the false impression that the illustrated performance was premised on a conservative credited interest rate—concealing that the PDX Policy is instead the costliest and riskiest IUL product in the marketplace. *Supra*, footnote 1.

48. Based on the unsustainable, astronomically high, cash value buildup shown in the PDX Illustrations — which projected outsized returns as high as 42% at product maturity — and the excessive compensation available to producers, the PDX Policies swiftly became the highest selling IUL product in the years immediately after it was launched. PacLife proclaimed that it “was the top-ranked indexed universal life insurance performer for the third quarter [of 2017], led by its

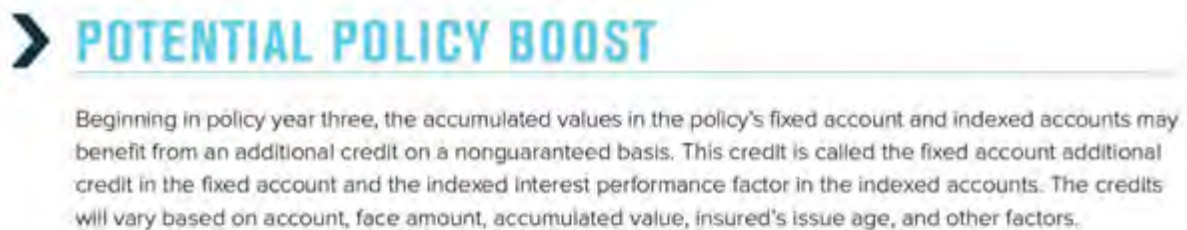
¹² Stoyan Petev, *Higher income and compensation, even at an interest rate projection 1% lower than the competition*, FIRST HEARTLAND, <https://www.firstheartland.com/blog/how-good-pacific-life-pdx> (last visited 6/29/21).

top-selling indexed universal life (IUL) product, Pacific Discovery Xelerator.”¹³ In 2019, PacLife proclaimed that PDX was “the #1 selling IUL for the last two years in a row.”¹⁴

E. PacLife’s Uniform PDX Consumer Brochures, Marketing Materials, and Policy Documents

49. PacLife prepared and disseminated uniform consumer brochures to market the PDX Policies after their product launch. One early version contains a series of platitudes trumpeting the PDX Policies as providing “PROTECTION FOR YOUR LOVED ONES,” “ASSET DIVERSIFICATION,” and “MARKET LOSS PREVENTION.”¹⁵ As key selling points, PacLife represented that the PDX Policies would (a) provide “attractive cash value growth potential in and after policy year 15” and (b) protect policy cash values “from market-based losses . . . reduced only by policy charges and any policy loans, withdrawals, and other distributions you take.” **Exhibit 1** (attached hereto), at 61, 63.

50. The PacLife client guide (**Exhibit 1**) also mentions a vague yet alluring PDX Policy performance booster:



¹³ *Pacific Life Ranked #1 in Overall Indexed Universal Life Sales for Third Quarter 2017*, BUSINESS WIRE (Dec. 12, 2017), <https://www.businesswire.com/news/home/20171212005395/en/Pacific-Life-Ranked-1-Indexed-Universal-Life> (last visited 6/29/21).

¹⁴ *The Leader in Indexed Universal Life Insurance Announces Two New Products*, BUSINESS WIRE (Feb. 27, 2019), <https://www.businesswire.com/news/home/20190227005798/en/Leader-Indexed-Universal-Life-Insurance-Announces-New> (last visited 6/29/21).

¹⁵ *Pacific Discovery Xelerator IUL: Flexible Premium Index Universal Life Insurance Client Guide*, PACIFIC LIFE. **Exhibit 1**, at 62.

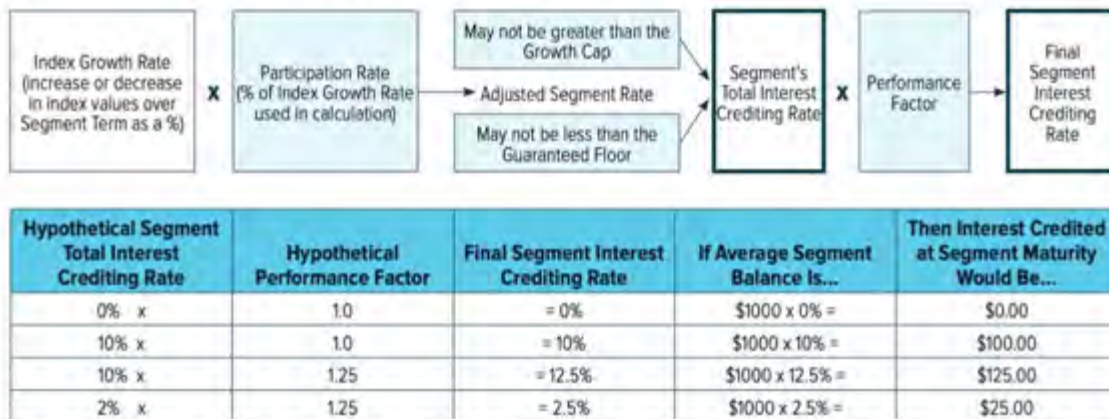
1 **Exhibit 1**, at 64.

2 51. The PacLife consumer brochure discloses no other information about this
3 mysterious “Policy Boost.” In particular, PacLife did not to the consumer disclose or explain: how
4 the Performance Factor was derived, applied, or funded; how it would impact the accumulated
5 cash values; the magnitude of the multiplier; the factors that would impact the fluctuation, amount,
6 timing, or incidence of the so-called “Policy Boost”; or anything else about it. Nor did the
7 consumer brochure disclose that the illustrated policy performance attributable to the Performance
8 Factor depends on PacLife’s unsupported and unsustainable assumption that it would earn a 50%
9 profit on future option purchases in perpetuity. Instead, PacLife vaguely (and misleadingly)
10 suggested only that the Performance Factor was tied to a list of objective policy factors, like “face
11 amount, accumulated value, insured’s issue age, and other factors.” *Id.*
12

13 52. PacLife prepared and disseminated another marketing piece in June 2017, titled
14 “Discover the Performance Factor in Pacific Discovery Xelerator IUL.”¹⁶ The vague description
15 of the Performance Factor in this consumer brochure is equally misleading. The consumer
16 brochure included the following graphic illustrating how the Performance Factor multiplier could
17 increase the interest credited to the PDX account values:
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26 ¹⁶*Discover the Performance Factor in Pacific Discovery Xelerator IUL*, PACIFIC LIFE, jh-
27 bt.s3.amazonaws.com/wp-content/uploads/2018/03/Performance-Factor.pdf (last visited 6/29/21).

Hypothetical Performance Factor Crediting Examples



53. This graphic is misleading because it appears to be based on an inflated and unsustainable cap rate of 10%, and as PacLife knew, the projected values in its sales illustrations at the time were based on undisclosed Performance Factors substantially higher than 1.25. Consequently, while the brochure suggested that the Performance Factor multiplier was a relatively modest component of anticipated policy performance, the Performance Factor actually created the enormous and undisclosed leverage, risks, and attendant policy underperformance described below. Furthermore, the brochure fails to disclose that the Performance Factor was funded by excessively high policy charges that PacLife knew would exceed any reasonably projected index returns, thereby resulting in negative returns.

54. The PacLife consumer brochure encouraged prospective purchasers to “[r]equest a personalized illustration showing what [the] Pacific Discovery Xelerator IUL can do for you.” **Exhibit 1**, at 64. These PacLife sales illustrations were standardized and uniform. Indeed, the Insurance Code **requires** that, *inter alia*, a copy of each basic illustration used in connection with the sale of a life insurance policy is signed by the customer and producer and submitted to the insurance company with the application. Cal. Ins. Code §§ 10509.958(a)(1), 10509.956(d)(1)-(2). Furthermore, the Insurance Code requires each producer to affirmatively attest that it “made no statements [to the consumer] that are inconsistent with the illustration.” *Id.* § 10509.956(d)(2).

55. The PDX Illustrations used to sell the PDX Policies projected double-digit growth in policy values driven largely by the inclusion of the Performance Factor, without disclosing any meaningful information about the embedded multiplier and attendant risks. Instead, the PacLife standardized illustrations, attached hereto as **Exhibit 2**, simply state:

One of the segment components, the Performance Factor, is used to determine the Segment Indexed Interest. The Performance Factor is determined for each segment at the segment start date based upon certain factors, including but not limited to: the face amount, the policy's Accumulated Value, and which Indexed Account the segment is allocated to. . . . A Performance Factor greater than the Guaranteed Minimum Performance Factor for an Indexed Account will increase the Segment Indexed Interest as reflected in this illustration, but is not guaranteed. This illustration reflects Performance Factors greater than the minimum beginning with segments created in policy year 3 and until age 121.

Exhibit 2, at 80.

56. The standardized PDX Illustrations uniformly fail to define the Performance Factor or disclose how it functions. The PDX Illustrations also fail to meaningfully disclose that the Performance Factor operates as a multiplier applied to the illustrated “Indexed Interest” rate. Further, the PDX Illustrations misleadingly state that the Performance Factor is “determined . . . based upon” certain listed factors, all of which are objective policy factors, namely “the face amount, the policy’s Accumulated Value, and which indexed Account the segment is allocated to.” *Id.* In reality, the Performance Factor that PacLife may apply at each Segment maturity date is not tied to these factors mentioned in the PDX Illustrations.

57. The description of the phantom Performance Factor in the PDX Illustrations is cryptic and uninformative in the standardized PDX Policy contract itself, which uniformly states only:

Performance Factor – This is the factor used to determine the final Segment Indexed Interest and Segment Guaranteed Interest Rate. The Guaranteed Minimum Performance Factor [1.0] is shown above. We may declare a higher Performance Factor. Certain policy charges may be used in determining the Performance Factor.

1 PDX Policy Contract with Mamboleo, attached hereto as **Exhibit 3**, at 124.

2
3 58. That is it. Nothing more. These shockingly vague, ambiguous, and uninformative
4 descriptions were, at best, misleading half-truths—omissions which, just like the description in the
5 standardized PacLife marketing materials, fail to disclose to the consumer the value of the
6 Performance Factor used in the illustration, the portion of the illustrated values that are attributable
7 to the Performance Factor, the assumptions used to set the Performance Factor, how the generally
8 described “certain factors” are applied, how they impact the Performance Factor, or how PacLife
9 accounts for other undisclosed factors to establish the Performance Factor.

10
11 59. PacLife likewise failed to disclose the withheld information concerning the
12 Performance Factor and its impact on PDX Policy performance to its own sales agents. Nothing
13 in the PDX “Technical Guide” PacLife supplied to its agents adequately explains the Performance
14 Factor.

15 60. In sum, as one respected insurance analyst writes:

16 What we appear to have then, is this – a product that has quantifiably the highest
17 charges of any IUL product in the market with an unspecified Performance Factor,
18 and somehow the combination of the two generates the most competitive
19 accumulation, income and sometimes even death benefit solves by a mile ***The***
product is impossible to understand, impossible to explain to clients and
impossible not to sell, simply because it illustrates the best.¹⁷

20 **F. The PDX Product Is Misleading and Deceptive**

21 61. When PDX was being pitched to thousands of unwitting California consumers, the
22 PDX Policies attracted widespread industry criticism and outright condemnation for several
23 interrelated product attributes: the mysterious Performance Factor; the aberrational and extremely
24

25
26 ¹⁷ Bobby Samuelson, *PDX Review – Part 1 – Intro to the PDX Series*, THE LIFE PRODUCT REVIEW
27 (Jan. 17, 2018) (emphasis added), <https://lifeproductreview.com/2018/01/17/intro-to-the-pdx-series> (last visited 6/29/21).

high base policy charges; aggressive initial cap rates; and excessive agent compensation—all making PDX the most highly leveraged, riskiest, and most misleading IUL product on the market.

62. As more fully alleged below, the PDX marketing materials, PDX Illustrations, and PDX Policies are misleading and deceptive for a variety of reasons because, among other things:

- PacLife misrepresented the fundamental nature of the Performance Factor and failed to disclose that the Performance Factor was a subterfuge that PacLife intentionally conceived and used to circumvent and evade the consumer protections of AG 49;
- PacLife misrepresented and failed to disclose critical information necessary for consumers to understand the operation, impact, and risks of the Performance Factor;
- PacLife misrepresented that PDX Policies are structured to protect the policyowner from “market loss” when, in fact, PDX policyowners were secretly subjected to market-based diminution in policy account values due to the excessive policy charges and their impact on the Performance Factor;
- PacLife misrepresented the illustrated performance of the PDX Policies and failed to disclose that the PDX Policies could not perform as represented because the illustrated performance was based on assumptions that PacLife knew were unsupportable and unsustainable;
- PacLife failed to disclose that the high cap rates that it established to launch the PDX Policies were unsupported and unsustainable;
- PacLife failed to disclose material information showing that the PDX Policies are in fact the costliest and riskiest IUL products on the market; and
- PacLife incentivized its sales agents to maximize their own compensation to the detriment of the policyowners.

63. As also alleged more fully below, the foregoing material misrepresentations, misleading half-truths, and omissions in and from PacLife's uniform standardized marketing materials, illustrations, and contract documents induced Plaintiff and the other members of the putative Class to purchase PDX Policies to their detriment.

1. The Performance Factor Is Inherently Misleading and Deceptive

64. The Performance Factor has a profound, yet undisclosed, impact on the illustrated performance of the PDX Policies. After policy year 3 and until attained age 121, the index credits to the illustrated account values of the PDX Policies are multiplied by the Performance Factor that applies to the particular illustration. Thus, if the disclosed illustrated crediting rate is at the approximate 6.1% maximum rate allowed when AG 49 was first adopted and if the Performance Factor is 2, the illustrated rate after the third policy year is 12.2%. For a level pay minimum premium PDX Illustration, the undisclosed Performance Factor may result in a multiplier of 4, meaning that the 6.1% rate shown on the illustration would translate into an effective rate of more than 24%. Despite this dramatic increase in the effective illustrated rate created by the Performance Factor, the actual numerical amount of the multiplier is not disclosed in the PDX Illustration, the marketing materials, or even the PDX Policies.

65. Through this sleight of hand, PacLife intentionally misleads consumers into thinking that the hyperaggressive account values shown in the PDX Illustrations and marketing materials are based on the conservatively illustrated crediting rate of around 6% as mandated by AG 49. PacLife thereby conceals that the PDX Policies are the riskiest and most highly leveraged IUL products in the entire insurance industry.

66. Although PacLife deliberately conceals the nature of the Performance Factor multiplier from prospective policyowners, it offered to industry sources in late 2018 a glimpse at

1 “the calculation of the first Performance Factors for its industry-leading . . . Pacific Discovery
2 Xelerator IUL (PDX).”¹⁸ As reported by Business Wire on November 15, 2018:

3 The first Performance Factor calculated on a PDX policy is 2.46, which means it
4 will multiply any positive index-based interest crediting rate by 2.46 at segment
5 maturity. It was promptly followed by another Performance Factor calculated on
another PDX policy at 4.18.

6 According to [PacLife Vice President of Product Design] O’Donnell, “If the
7 client’s indexed interest credit met the then-current growth cap rate of 10 percent,
8 **those segments would earn respective indexed crediting rates of 24.60 percent
and 41.80 percent at segment maturity.**”

9 *Supra* note 18 (emphasis added).

10 67. The undisclosed leverage and resulting risks associated with the PDX Policies stem
11 from a number of other concealed features and indefensible assumptions underlying the product
12 design. The projected increase in returns created by the Performance Factor is purportedly
13 supported by a PacLife assumption of **perpetual option profits of 50%** in its option hedging
14 program. As alleged in Paragraphs 82 through 83 below, PacLife knows that a 50% perpetual
15 options profit assumption is **impossible** to sustain over the long-term horizon depicted in the PDX
16 Illustrations. PacLife is essentially assuming that the huge increases in projected account values
17 will materialize based on the assumed leverage (and resulting arbitrage) between the high policy
18 charges paid by the Policyholders and PacLife’s ability to earn a 50% profit on its option trades
19 each year over the next 40 years or more. PacLife discloses none of these unsustainable
20 assumptions underpinning illustrated performance to PacLife’s customers.
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25 ¹⁸ *Pacific Life Announces the First Performance Factors (2.46 and 4.18) for Its Best-Selling*
26 *Indexed Universal Life Insurance Product*, BUSINESS WIRE (Nov. 15, 2018),
27 [https://www.businesswire.com/news/home/20181115005287/en/Pacific-Life-Announces-
Performance-Factors-2.46-4.18](https://www.businesswire.com/news/home/20181115005287/en/Pacific-Life-Announces-Performance-Factors-2.46-4.18) (last visited 6/29/21).

68. PacLife took deliberate steps to conceal the nature, effect, and true cost of the Performance Factor. The lack of disclosure with respect to the illustrated performance of the PDX Policies not only stands in sharp contrast to other IUL products on the market, which transparently offer allocation options that allow the policyowner to receive a higher specified cap or account multiplier in exchange for a specified charge to the policy's account value of 1% or so. PacLife's nondisclosure also stands in contrast with its own past conduct. For instance, with the Pacific Indexed Performer LT, a PacLife IUL product that preceded the PDX Policy, PacLife at least disclosed that the policy could receive a multiplier of 23% in policy years 11 through 20 *in exchange for higher policy charges*. The PDX Policies, by contrast, automatically embed the Performance Factor in projecting the illustrated policy values and automatically includes the cost of the Performance Factor in the base policy charges without disclosing the amount of the Performance Factor multiplier or the amount of the increased policy charges attributable to the phantom multiplier.

69. In addition, PacLife fails to disclose that the Performance Factor is *not* designed as a constant multiplier but, instead, is back-end loaded to peak in later policy durations, and (if that were not enough) this back-end peak is particularly pronounced for PDX Policies with higher-issue ages (that is, more elderly Policyowners) due to further undisclosed and unsupportable mortality assumptions made by PacLife. In essence, the PDX Policies shift mortality risk—the risk that fewer people will die than PacLife assumes in its model—from the insurance company to the PDX Policyowners even though as an IUL policy the PDX Policy was marketed to them in the first place as a cash value accumulation product (not as a low-cost, death benefit product).

1 **2. PacLife Failed to Disclose the Excessive Costs Associated with the PDX**
2 **Policies**

3 70. The PDX Policies have extremely high, current policy costs—up to *four times* the
4 charges associated with other IUL products on the market. These costs are not meaningfully or
5 sufficiently disclosed to prospective customers in PacLife’s standardized marketing materials.
6 Moreover, PacLife does not disclose that the excessive costs are not actually “costs” at all, like the
7 cost of providing insurance coverage or administrative costs; instead, PacLife uses the money that
8 it charges as “costs” to purchase options to fund the Performance Factor.

9 71. The actual current charges embedded in the PDX Illustrations and applied upon
10 issuance of the PDX Policies are not disclosed in the PDX Illustrations, in the Policy contracts, or
11 anywhere else. Thus, although the Policy contract discloses the maximum allowable charges, there
12 is no way for prospective purchasers to know or understand the actual charges assumed in the PDX
13 Illustrations or the charges that will apply when the PDX Policy is issued. In essence, prospective
14 purchasers are enticed by the projected returns associated with the PDX Policies without knowing
15 the actual cost of the policy charges, let alone that a very substantial portion of the policy charges
16 are being used by PacLife to acquire more options, which creates additional undisclosed leverage
17 and risk, rather than to pay for the cost of insurance, administrative expenses, or other insurance-
18 related costs.
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21 72. The excessive policy costs associated with the PDX Policies, combined with the
22 internal, undisclosed leverage and the likely index performance over the long term, expose PDX
23 Policyowners to the “death spiral” illustrated below in Paragraph 74, in which the Policies become
24 prohibitively expensive to maintain because the permanently reoccurring, large policy charges
25 exceed the index interest credited to the account values, thereby requiring the owners to pay
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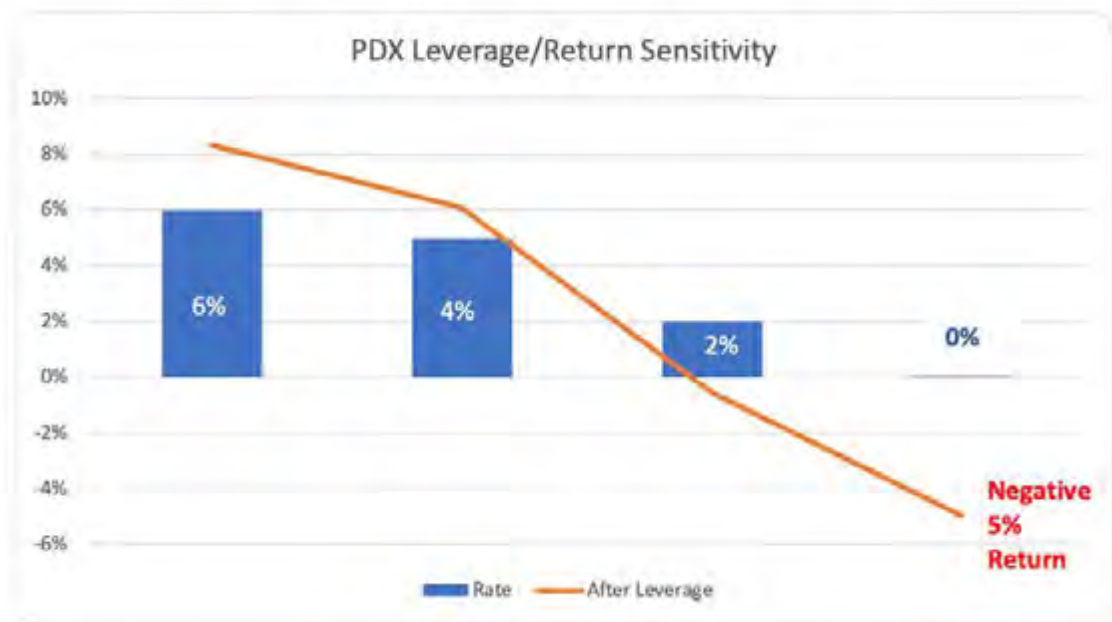
1 additional out-of-pocket premiums to avoid lapsing their Policies and losing insurance coverage
2 above and beyond the prior premium dollars that they already sunk into the Policies.

3 **3. PacLife Misrepresented the Safety of the PDX Policies and Failed to Disclose**
4 **the Leverage and Risks Associated with the Policies**

5 73. The undisclosed leverage and resulting risks associated with the PDX Policies are
6 revealed through a stochastic analysis examining the risks associated with the projected statistical
7 sequence of returns associated with the product. Such an analysis confirms that the volatility and
8 sequence of return risk associated with the Performance Factor show a range of results to be far
9 wider than that associated with other IUL products. This means that, when the applicable index
10 performs favorably, the PDX Policies perform more favorably than other IUL products, **but when**
11 ***the applicable index underperforms or performs poorly, the PDX performs far worse than other***
12 ***IULs.*** That poor performance is so extreme that the highly excessive policy charges, which are
13 tied to face amount of the policy and remain fixed over the lifetime of the PDX Policies, have
14 eroded existing policy values and resulted in ***negative returns*** when the selected equity index fails
15 to yield sufficient positive movement to achieve the undisclosed arbitrage baked into the PDX
16 policy design. These undisclosed risks, including the very real risk of ***negative*** PDX Policy
17 performance, are squarely at odds with PacLife's representations that the PDX Policies provide
18 guaranteed protection against market-based losses.
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21 74. As a result of this leverage, relatively small changes in the illustrated rate have a
22 far greater impact on the projected returns for the PDX Policies than they do with other IUL
23 products. As the following chart shows, even without considering the cost of insurance charges,
24 when the credited interest rate falls from 6% to 4%, the return on the illustrated account values
25 falls from more than 8% to 6%. When the credited rate falls to 2%, the return on the illustrated
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1 account value is **negative**. And if the actual credited rate is zero because the increase on the
2 applicable index is zero or less, the illustrated account value is a **negative 5%**.



75. As this chart makes clear, the undisclosed leverage created by the Performance Factor exposes unwitting PDX Policyowners to the risk that a volatile and underperforming equity index will eviscerate the projected growth in cash surrender value and, potentially, cause the PDX Policies to suffer negative account value growth and lapse. The chart also illustrates how and why PacLife's representations that the PDX Policies protect cash values from market-based losses are false.

76. These undisclosed risks and leverage associated with the PDX Policies are confirmed by a comparison between the PDX Illustrations received by Plaintiff when she applied for her PDX Policies and the in-force illustrations that she requested and received from PacLife less than two years later.

1 77. As to Plaintiff, the PDX sales illustration presented to her on or around March 11,
2 2019 (a “basic illustration” under the Insurance Code) indicates that her policy account value
3 would grow by \$418,141 in year 20 (i.e., the Net Accumulated Value), when she would be sixty
4 years old, based on the assumed interest rate of 7.1%. See **Exhibit 2**, at 69, 78. By contrast, an
5 illustration as of April 15, 2021 (an “in-force illustration” under the Insurance Code) indicates that
6 the policy account values will grow by \$364,351 in year 20 based on an assumed credited rate of
7 6.66%. See **Exhibit 7**, at 279 (attached hereto) at In-force Non-Guaranteed Policy Values: Ledger.
8 Thus, while the disclosed credited rate fell from 7.1% to 6.66%, a decrease of 6.2%, the projected
9 account values declined by 13% as a result of the undisclosed leverage and risks attendant to the
10 PDX Policy.
11

12 **4. PacLife Uniformly Misrepresented That the PDX Policies Were Immune from**
13 **Market Losses**

14 78. PacLife described the PDX Policies as affording Policyowners “MARKET LOSS
15 PREVENTION,” which immunizes policy account values “from market-based losses” and permits
16 reductions in value “only by policy charges and any policy loans, withdrawals, and other
17 distributions you take.” **Exhibit 1**. For the reasons explained above, this description is at best a
18 false and misleading half-truth because the Performance Factor and excessive policy charges
19 secretly reintroduce market-based risk to the account values and policy performance.
20

21 **5. PacLife Knew That the PDX Policies Would Not Perform as Illustrated**
22 **Because They Are Based on Assumptions of Unsustainable Option Profits**

23 79. The primary factor driving the PDX Illustrations is PacLife’s assumption that the
24 company will earn a 50% profit from the call options that it buys with the PDX policyowner
25 premiums every year for the next 30 to 50 years or longer (depending on the age and life
26 expectancy of the insured). Moreover, PacLife essentially doubles down on this bet, which it
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28

1 knows is untenable in the long run, by imposing on the PDX Policies the highest base policy
2 charges in the industry and then, using those charges to acquire even more call options that PacLife
3 again assumes will yield additional profits of 50% in perpetuity in order to increase the leverage
4 and illustrated performance of the PDX Policies.

5 80. The excessive policy charges for the PDX Policies consist of a fixed annual charge
6 that is based on the face amount of the Policy and imposed each and every Policy year **regardless**
7 of actual policy performance. Thus, a significant portion of the illustrated cash value buildup in
8 the PDX Policies comes from PacLife’s assumption that the high policy charges will be more than
9 offset by even higher profits on the company’s option trades (based, again, on its assumed 50%
10 perpetual option profits).

11 81. Like the rest of the industry, PacLife knows that the undisclosed option profit
12 assumptions embedded in the PDX Illustrations based on the non-guaranteed Performance Factor
13 are unsustainable and that, as a result, the outsized returns depicted in the illustrations were and
14 are unattainable. In 2014, MetLife, New York Life, Northwestern Mutual, and OneAmerica
15 submitted a joint position statement to the NAIC, attached as **Exhibit 4**, explaining that
16 illustrations projecting that an insurance company can earn “50% annual returns, year after year”
17 are based on “an unreasonable long-term assumption, which creates unrealistic consumer
18 expectations.” **Exhibit 4**, at 223. This coalition of highly respected insurance companies explained
19 why “[s]uch exorbitant returns on options” are unattainable:
20
21

22 There is little, if any, reason to believe that options systematically deliver
23 meaningful profits to the buyer over extended periods of time for the following
24 reasons:

25 1) Options are financial instruments with contingent payoffs. As is well
26 documented in academic literature, the expected price to enter an option transaction
27 is the present value of its expected future payoff – in other words, a zero-profit
28 baseline assumption.

1 2) In an option transaction, both parties assume risk on opposite sides of the same
2 trade. As a result, evaluating options transactions under a long-term risk/return
3 framework is not particularly useful....

4 3) The best analogy for options is insurance. Using an option to hedge is analogous
5 to buying an insurance policy because the held risk is transferred to a third party.
6 As with any insurance policy, we should expect the seller to recoup profits for
7 accepting risk over the long run. . . .

8 4) The best evidence against the idea of systematic profits to option buyers is the
9 fact that investment professionals, endowments and pension funds do not employ
10 the strategy as a way to enhance returns with very little risk, as is argued with IUL
11 products. ... [I]f buying options is so incredibly profitable and has been for such a
12 long time with so little variation, then why doesn't everyone do it and why aren't
13 life insurers employing this strategy to generate higher returns in their own general
14 accounts?

15 **Exhibit 4**, at 223-224.

16 82. Although AG 49, as originally adopted, imposes an effective 50% upper *limit* on
17 the option profits assumed in IUL illustrations, it does not condone or permit PacLife to use
18 actuarial assumptions that are unsupported, actuarially unreasonable or unattainable, such as
19 perpetual annual returns of 50%. A properly constructed model using reasonable assumptions will
20 demonstrate that the statistical probability of the PDX Policies performing as illustrated is
21 infinitesimal. As a consequence, the PDX Policies issued to Policyholders have a present value far
22 less than the premiums that Policyholders paid, net of cost of insurance charges.

23 **6. PacLife Also Knew That the PDX Illustrations Were Based on Unsustainable**
24 **Assumed Cap Rates**

25 83. PacLife launched the PDX Policies using illustrations and policy contracts showing
26 unsustainably high cap rates for the available index options as another artifice to mislead
27 consumers into purchasing the policies.

28 84. As PacLife knew but failed to disclose, a realistic analysis of related option costs
over a representative period associated with the reported performance of the S&P 500 index reveals

1 that the 10% cap rate used in the PDX Illustrations was unsustainable. Given the prevailing low
2 interest rates and then current option pricing, PacLife’s net earnings on its General Account assets
3 were insufficient to support a 10% cap rate. As a result, in the short span of three years, PDX
4 Policyowners have experienced a decline in the illustrated performance of their PDX Policies in
5 the neighborhood of **35% or more**.

6
7 85. PacLife knew but failed to disclose that the cap rates used in the PDX Illustrations
8 were based on erroneous actuarial assumptions and were unsustainable. Insurance companies set
9 cap rates so that the cost of the options purchased to hedge the underlying liabilities are equal to
10 the yield on the company’s portfolio of assets. If the portfolio net investment earned rate declines,
11 then the prices of call options increase or the underlying index experiences high volatility or higher
12 volatility “skew,”¹⁹ and the insurance company must reduce its declared cap rates on the indices
13 for the available Indexed Account options.

14
15 86. PacLife knew when it launched the PDX Policies that its portfolio earned rates were
16 falling due to the persistently low interest rate environment and that the massive anticipated PDX
17 sales would only accelerate the downward spiral in portfolio rate as new premiums are invested in
18 lower-yielding, new money assets. PacLife also knew that the high cap rates used in the PDX
19 Illustrations to induce sales were based on aberrational low option prices that would inevitably
20 increase over time. Indeed, as PacLife knew, the average historical costs for options were
21 substantially higher than the prevailing option costs when PDX was launched. As PacLife also
22 knew, the ongoing explosion in IUL sales was putting upward pressure on option prices because
23

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26
27 ¹⁹ “Skew” means the difference between the implied volatility for out-of-the-money options and
at-the-money options issued for the same expiration date on the same index.

1 there was an insufficient supply of options (since the availability of counterparties willing to trade
2 with insurers was strained) to support the existing historically low option prices.

3 87. The Insurance Code requires life insurance companies to designate an “illustration
4 actuary” who must certify that illustrations used by the company comply with the “disciplined
5 current scale,” which is a scale of nonguaranteed elements establishing a limit on current
6 illustrations that is reasonably based on actual, recent, historical experience. Cal. Ins. Code,
7 § 10509.953. PacLife’s illustration actuary was either unable or unwilling to certify that the
8 existing PDX in-force illustrations complied with this actuarial standard because, as PacLife knew
9 all along, the cap rates used in the PDX Illustrations to garner sales were unsustainable.
10

11 88. For these reasons, only three years after the PDX product launch PacLife was
12 forced to slash the unsustainable cap rates that it had been using throughout the short life of the
13 PDX Policies, which, by then, had been pulled from the market.
14

15 89. In January of 2020, PacLife announced reductions to the cap rates applicable to the
16 Indexed Accounts for the PDX Policies. PacLife reduced the cap rate for the 1 Year Indexed
17 Account from 10% to 9% and reduced the cap rate for the 1 Year High Par Indexed Account from
18 7.5% to 7.25%. Only months later, on July 15, 2020, PacLife *again* reduced the cap rates
19 applicable to the PDX Policies. PacLife further reduced the cap rate for the 1 Year Indexed
20 Account from 9% to 8.5% and further reduced the cap rate for the 1 Year High Par Indexed
21 Account from 7.25% to 7%.
22

23 90. Because of these reductions, which PacLife knew to be inevitable when it sold the
24 PDX Policies, the PDX Policy owners will receive far lower returns than shown in the PDX
25 Illustrations. As a result, in the short span of three years, PDX Policyowners have experienced a
26 decline in the illustrated performance of their PDX Policies in the neighborhood of 35% or more.
27
28

1 **7. PacLife Designed the PDX Policies to Incentivize Agents to Receive Excessive**
2 **Compensation, Resulting in Higher Policy Charges for Policyowners**

3 91. Agent compensation for selling the PDX Policies is based on the policy charges for
4 the first ten policy years. As alleged above, the base policy charges on the PDX Policies are the
5 highest in the industry. As also alleged above, the excessively high base policy charges operate to
6 increase the applicable Performance Factor, thereby juicing the illustrated performance of the PDX
7 Policies. So, unlike other products in which higher policy charges adversely impact illustrated
8 performance, the PDX Policy is designed to motivate agents with some of the highest commissions
9 in the industry to steer their clients to the highest policy charges in the industry, but none of that
10 shows up in the illustrations due to Performance Factor alchemy.

11
12 92. In fact, an agent who sells a PDX Policy providing base coverage stands to earn
13 compensation that is almost three times higher than the agent could make selling a competing IUL
14 product showing comparable illustrated future performance. Indeed, because the PDX Policies
15 allow agents to vary the percentage of base coverage, an agent who sells a PDX Policy structured
16 with 100% base coverage stands to earn compensation that is almost three times higher than the
17 agent could make selling the PDX Policy itself blended with a 50% term component.

18 **G. The PDX Is the Most Abusive and Deceptive IUL Product in the Marketplace**

19
20 93. Independent life insurance analysts have widely condemned PacLife's PDX
21 Policies and misleading and deceptive marketing and sales practices. One such analyst has
22 observed that "no product has been more misunderstood, misrepresented or mis-sold than PDX."²⁰
23 Another industry analyst is even more blunt in his assessment of the PDX:

24
25
26 ²⁰ Samuelson, *PDX Review – Part 1 – Intro to the PDX Series*, THE LIFE PRODUCT REVIEW
27 (emphasis added), <https://lifeproductreview.com/2018/01/17/intro-to-the-pdx-series> (last visited
28 6/29/21).

I have been analyzing IUL's for about 10 years now and I rarely editorialize about one, but this PDX IUL represents such an **egregious abuse** by a co. to delude and deceive clients and agents as to how it could perform that I feel I have no choice because agents at what I consider the "top" co.' <https://lifeproductreview.com/2018/01/17/intro-to-the-pdx-series> – trying to do the best for their clients – are emailing me that they cannot 'compete' against these "false" PDX illustrations. My analysis of this IUL started out as normal, then an agent emailed me asking about the features above that were not even listed in the illustration. So I called Pacific Life, and yep, there are those 3 features for the cash value crediting in this policy that are **NOT** mentioned/described/explained in the illustration and **NOT** mentioned and/or described and/or even explained in the Agent Technical Guide.

...
This is the kind of product that gives the industry a bad name, and riles other companies up such as those in the Whole Life industry to rail against IUL. Frankly it should be AGAINST THE LAW for a co. to offer this product and for agents to sell it as is – the only reasons to do so are ignorance and/or greed.²¹

H. The NAIC Moves to Halt the Use of Illustrated Multipliers to Circumvent AG 49

94. The use of bonuses and multipliers, like the Performance Factor, to evade AG 49 caused the NAIC to reconvene the NAIC Task Force in 2019 to evaluate and make recommendations concerning potential modifications to the guideline. During these discussions a significant cross-section of the NAIC Task Force members acknowledged that products using internal, undisclosed multipliers, like the PDX Performance Factor, are inherently misleading. According to the deputy superintendent for life insurance at the New York Department of Financial Services, who served as Chair of the NAIC Task Force, "We have consumers out there being misled by these illustrations."²²

95. Having already cast its lot with the Performance Factor, PacLife in its comments to the NAIC Task Force unsurprisingly tried to defend the use of illustration multipliers. According

²¹ *Pacific Life PDX, IUL DIGEST* (Mar. 2017) (emphasis in original), www.iuldigest.com/?page_id=5860.

²² John Hilton, *Regulator Calls for "A Total Rework" of Key NAIC Illustration Guide*, INSURANCENEWSNET (July 16, 2019), <https://insurancenewsnet.com/innaarticle/regulator-calls-for-a-total-rework-of-key-naic-illustration-guide#.XxorokBFyUk> (last visited 6/29/21).

1 to PacLife, “IUL products with bonus features provide a unique risk profile, and may be
2 appropriate for consumers who, for example, are willing to accept additional charges for the
3 potential of enhanced performance and reduced premium outlay.”²³ The problem, of course, is that
4 this trade-off is not disclosed in PacLife’s PDX Policy marketing materials. It is no small irony,
5 then, that in opposing the proposal to ban or restrict the use of multipliers and bonuses in IUL
6 illustrations, PacLife emphasized the need for “consumer education” and “improved and more
7 effective disclosure.” *Supra* footnote 23, at 1, 2.

9 96. After many months of deliberation and receiving input from regulators, industry
10 participants, industry trade groups, and consumer advocates, the NAIC settled on a revised AG 49
11 (called AG 49-A) that became effective in mid-2020. AG 49-A provides a series of modifications
12 and clarifications to AG 49, including provisions that are intended to ban the use of multipliers
13 and bonuses that were used to generate illustrations that were more favorable than those for IUL
14 products without such multipliers or bonuses.

16 97. In short, AG 49-A explicitly prohibits precisely the abusive illustration practices
17 that PacLife used to induce consumers to purchase the PDX Policies.

18 98. As criticism of the PDX Policy intensified and regulatory concerns began to
19 surface, PacLife pulled it from the market in 2019 and replaced it with a new IUL product called
20 “Pacific Discovery Xelerator IUL 2” (“PDX 2”). Tellingly, unlike the PDX Policy sold to Plaintiff
21 and other members of the putative Class, PDX 2 allows consumers to choose a fixed-charge
22 multiplier by purchasing a separate rider called the “Enhanced Performance Factor” (“EPF
23

25 ²³ Ernest R. Armijos, *Comments to the IUL Illustration (A) Subgroup Questions regarding*
26 *Actuarial Guideline 49; Options 14-16*, Letter, PACIFIC LIFE (June 28, 2019),
27 [https://content.naic.org/sites/default/files/inline-files/Pac Life Comments on Items 13-16.pdf](https://content.naic.org/sites/default/files/inline-files/Pac%20Life%20Comments%20on%20Items%2013-16.pdf) (last
visited 6/29/21).

1 Rider”). Unlike the PDX Policies, in which the Performance Factor was hidden as an embedded
2 multiplier of unknown magnitude, the EPF Rider offers three options, each of which includes a
3 schedule of **disclosed** asset-based charges and specified multipliers.

4 99. The PDX 2 and EPF Rider still entail heightened leverage and risk—and enhanced
5 illustrated performance—but at least these newer products disclose the actual multiplier value and
6 impose asset-based charges rather than the indiscernible fixed policy charges embedded in the
7 PDX Policies. Such changes reduce the likelihood that the policies will lapse in the wake of poor
8 index performance. Thus, the PDX 2 product not only amounts to an admission by PacLife
9 concerning the lack of transparency associated with the PDX Policies, it also demonstrates that
10 PacLife was fully capable of designing a leveraged product that provides both greater disclosure
11 and considerably lower risk. PacLife chose not to do that for the PDX Policy, prior to having its
12 hand forced by AG 49-A, because PacLife preferred to portray the PDX Policies as more valuable
13 IUL policies than those offered by its competitors.

14
15
16 **I. Plaintiff’s Purchases of PDX Policies**

17 100. Plaintiff is a California resident who was dissatisfied with the low rates of interest
18 available on bank savings accounts and other available low-risk investments.

19 101. In January 2019, Plaintiff was referred to Ms. Laura P. Ferro, a California-licensed
20 life insurance producer employed at World Financial Group Insurance Agency (“WFP”).

21 102. On or around January 18, 2019, Plaintiff met with Agent Ferro, who extolled the
22 performance of PacLife’s PDX Policy, using PacLife illustrations depicting the projected financial
23 performance of the PDX Policy. At no time, then or thereafter, did PacLife or Agent Ferro disclose
24 or explain the manner in which the “Performance Factor” operated, how it was funded, the leverage
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26
27
28

1 and risks that it created or the excessive costs and unattainable assumed option profits, all of which
2 collectively doomed the actual financial performance of the PDX Policy.

3 103. Induced by the PDX Policy's illustrated performance, and in reliance thereon,
4 Plaintiff agreed to purchase a PDX Policy with an Initial Total Face Amount of \$800,000.

5 104. PacLife issued the PDX Policy to Plaintiff on or around March 19, 2019 (Policy
6 No. VFxxxxx060).

7
8 105. On March 22, 2019, Agent Ferro delivered the PacLife PDX Policy to Plaintiff at
9 Plaintiff's office in Covina, California. At that time, Agent Ferro also requested that Plaintiff sign
10 a paper copy of the basic illustration, a true and accurate copy of which is attached as **Exhibit 2**.
11 Plaintiff reviewed the PDX Policy and signed the paper copy of the basic illustration on March
12 22, 2019. Agent Ferro herself also signed the paper basic illustration, expressly confirming that
13 she had "made no statements that are inconsistent with this illustration...." See **Exhibit 2**, at 99.

14
15 106. About one year later, on or about March 18, 2020, PacLife generated an annual
16 statement for Plaintiff's PDX Policy, a true and accurate copy of which is attached hereto as
17 **Exhibit 5**, which confirmed that Plaintiff had by then paid PacLife \$9,200 in premiums, from
18 which PacLife has deducted \$7,653.60 in "policy charges," leaving her with an account value of
19 only \$1,550.42. **Id.**, at 232.

20
21 107. On or about March 18, 2021, PacLife generated a second annual statement for
22 Plaintiff's PDX Policy, a true and accurate copy of which is attached as **Exhibit 6**, which
23 confirmed that Plaintiff had by then paid PacLife another \$7,800 in premiums, from which
24 PacLife has deducted \$6,608.31 in "policy charges," leaving her with a second-year account value
25 of only \$2,848.03. **Id.**, at 244.

108. Unhappy with the expense and poor performance of the PDX Policy, Plaintiff requested from PacLife a copy of the basic illustration and an in-force illustration.

109. On April 16, 2021, PacLife provided Plaintiff with a copy of the basic illustration, dated March 11, 2019, and the in-force illustration, dated April 15, 2021, copies of which are attached as **Exhibits 2 and 7**. The in-force illustration shows that for the same initial death benefit of \$800,000 shown in the original basic illustration, by year 26 (the year before Plaintiff intended to begin periodic withdrawals) the PDX Policy's accumulated account value would be only \$622,624, not the \$724,243 projected in the basic illustration.

110. As a result of PacLife's false and misleading representations and omissions, on which Plaintiff justifiably relied in deciding to purchase her PDX Policy, Plaintiff has suffered economic injury in at least two different ways. First, Plaintiff has already parted with at least \$17,000 in cash that she has paid for the PDX Policy sold to her under false pretenses. Second, Plaintiff was at the time of sale induced to enter into a IUL policy contract which was worth far less in values had its actual costs, market-protection attributes, and projected performance been truthfully disclosed by PacLife. Plaintiff would not have purchased the PDX Policy had PacLife done so.

CLASS ALLEGATIONS

111. Plaintiff brings claims against PacLife on behalf of herself and all other similarly situated California consumers pursuant to Section 382 of the California Civil Procedure Code and Section 1781 of the California Civil Code and seeks certification of the following class (the “Class”):

“All persons or entities who as California residents purchased a PDX Policy.”

1 Excluded from the Class are (a) PacLife and, as applicable, its officers, members, directors, and
2 employees, including any officer or director of PacLife reported in its most recent Annual
3 Statements; (b) PacLife's parents, subsidiaries, successors, predecessors, and any entity in which
4 PacLife has a controlling interest; (c) the judge adjudicating this action and court personnel
5 employed in that judge's chambers or courtroom; (d) any person who purchased a PDX Policy
6 under which a death benefit has been paid; (e) any person alleging wrongful inducement in the
7 purchase of a PDX Policy in any pending or resolved lawsuit against PacLife other than this action;
8 and (f) the legal representatives, successors, or assigns of any of the foregoing excluded
9 Policyowners but only in their capacity as such.
10

11 112. The Class members, which include Plaintiff, are so numerous and geographically
12 dispersed throughout the State of California that joinder of all of them individually is
13 impracticable. While the exact number and identities of the Class members are presently unknown,
14 such information can be ascertained through appropriate investigation and discovery.
15

16 113. The disposition of Plaintiff's and the proposed Class members' claims in a class
17 action will provide substantial benefits to both the parties and the Court.

18 114. The proposed Class members are ascertainable from business records maintained
19 by PacLife, and there is a well-defined community of interest in the questions of law or fact alleged
20 herein because PacLife's conduct infringed or violated the rights of each proposed Class member
21 in a similar fashion.
22

23 115. This action involves common questions of law and fact that are substantially similar
24 and predominate over any questions involving each Class member. These common questions
25 include, but are not limited to:

- 26 a. Whether PacLife engaged in the alleged misconduct;
27
28

1 b. Whether PacLife’s alleged misconduct violated the Insurance Code and any
2 other California statutes;

3 c. Whether PacLife’s alleged misconduct violated the common laws of
4 California;

5 d. Whether Plaintiff and Class members are entitled to the various legal and
6 equitable forms of relief available under their respective causes of action; and
7

8 e. Whether Plaintiff and Class members are entitled to further relief deemed
9 appropriate and warranted by the Court.

10 116. Judicial determination of the common legal and factual issues essential to this case
11 would be far more efficient and economical in a class action than in piecemeal, individual
12 determinations.

13 117. Plaintiff’s claims are typical of the claims of the members of the Class because,
14 *inter alia*, all Class members were injured through the alleged misconduct. Plaintiff is advancing
15 the same claims and legal theories on behalf of herself and all other members of the Class.
16

17 118. Plaintiff is willing and prepared to serve the Court and the proposed Class in a
18 representative capacity with all of the obligations and duties material thereto. Plaintiff will fairly
19 and adequately protect the interests of Class members. Plaintiff has retained counsel experienced
20 in complex consumer class action litigation, and Plaintiff intends to prosecute this action
21 vigorously. Plaintiff has no adverse or antagonistic interests to those of the Class members.
22

23 **RELIANCE ALLEGATIONS**

24 119. No person, including Plaintiff and the other members of the Class, purchased their
25 PDX Policy without actually and justifiably relying upon the truthfulness of PacLife’s affirmative
26 representations of the Policy’s true costs and illustrated performance, because that information
27
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necessarily plays a substantial part (and so is a substantial factor) in influencing every such purchase decision. *Engalla v. Permanente Medical Group, Inc.*, 15 Cal.4th 951, 976–977. (1997) (“It is not ... necessary that [a plaintiff’s] reliance upon the truth of the fraudulent misrepresentation be the sole or even the predominant or decisive factor in influencing his conduct.... It is enough that the representation has played a substantial part, and so has been a substantial factor, in influencing his decision.”). The very purpose of PacLife’s PDX Illustrations and sales materials was to induce the sales of the PDX Policies in reliance thereon.

120. No person, including Plaintiff and the other members of the Class, would have paid what they did to for their PDX Policy had they known the information not only omitted but deliberated concealed by PacLife’s concerning the Policy’s true costs and illustrated performance, which supports the inference of actual and justifiable reliance on the omissions. *Mirkin v. Wasserman*, 5 Cal.4th 1082, 1093 (1993) (The plaintiff in a fraudulent omission case establishes reliance by pleading and proving that “had the omitted information been disclosed, [the plaintiff] would have been aware of it and behaved differently.”).

121. As confirmed by her signature on **Exhibit 2**, at 99,” Plaintiff in particular was exposed the PDX Illustrations, and—unaware of the falsity, half-truths, and omissions—actually and justifiably relied on the truthfulness of PacLife’s description of the PDX Policy’s attributes and projected performance, which substantially influenced her decision to purchase the PDX Policy. Plaintiff quite reasonably would not have made that decision absent PacLife’s alleged misrepresentation and concealment.

122. In short, PacLife’s challenged alleged misrepresentations and omission in this action was an “immediate cause” that inducing the sale of the PDX Policy that altered the legal relations between Plaintiff and PacLife, and caused Plaintiff’s alleged damages. Plaintiff would

1 not have entered into the transaction, and thus would not have suffered her damages, absent (or
2 but for) PacLife’s alleged deceit.

3 **TOLLING ALLEGATIONS**

4 123. Plaintiff first became aware of PacLife’s alleged misconduct when she retained
5 legal counsel in April 2021. As alleged in detail above, PacLife actively concealed the adverse
6 attributes of the PDX Policy, precluding Plaintiff from discovery of the alleged misrepresentations
7 and omissions undermining the depicted performance of the PDX Policy in the PDX Illustrations
8 and sales materials, despite reasonable diligence.
9

10 124. The limitations period otherwise applicable to all Plaintiff’s claims alleged against
11 PacLife are thus tolled under California’s discovery rule, because neither Plaintiff nor any other
12 PDX Policyowner knew of facts that would have caused a reasonable person to suspect that they
13 had suffered harm that was caused by PacLife’s alleged wrongful conduct, nor would a reasonable
14 and good faith investigation have disclosed misrepresented and omitted facts that caused their
15 harm suffered as a consequence of purchasing their PDX Policy.
16

17 125. In addition, under Amended Emergency Rule 9(a), statutes of limitations that
18 exceed 180 days were tolled from April 6, 2020, until October 1, 2020.

19 126. Alternatively, the limitations period otherwise applicable to all Plaintiff’s claims
20 alleged against PacLife are under California’s fraudulent concealment doctrine, for Plaintiff has
21 above the substantive elements of fraud in way—including obfuscating and omitting information
22 from Policy materials—that precludes any earlier discovery of the pertinent facts. *Britton v.*
23 *Girardi*, 235 Cal. App. 4th 721, 734(2015) (the ground of relief is that “the defendant, having by
24 fraud or deceit concealed material facts and by misrepresentations hindered the plaintiff from
25 bringing an action within the statutory period, is estopped from taking advantage of his own
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27
28

wrong” (quotation omitted)).

127. Alternatively, the limitations period otherwise applicable to all of Plaintiff’s claims alleged against PacLife are tolled under the three elements of California’s equitable tolling doctrine: (1) timely notice to the defendant, (2) lack of prejudice to the defendant, and (3) reasonable and good faith conduct on the part of the plaintiff. Here, PacLife had timely notice of the facts giving rise to Plaintiff’s claims, since they are all premised on PacLife’s own actions in developing an IUL product that attempted to circumvent the restrictions of AG 49, not any idiosyncratic actions by Plaintiff or any other member of the Class. Second, PacLife is for the same reasons not prejudiced by the current assertion of claims, since there is no evidence of its action that has somehow become unavailable to it or otherwise prevents it from defending its alleged misconduct. Third, Plaintiff has in all respects acted reasonably in accepting at face value PacLife’s representations regarding the PDX Policy’s attributes and performance, until consulting counsel in April 2021, and then promptly filing suit.

CAUSES OF ACTION

COUNT I

Fraud, Deceit, and Intentional Misrepresentation (Plaintiff on Behalf of Herself and the Class)

128. Plaintiff repeats and realleges all prior allegations as if fully set forth herein.

129. PacLife uniformly made to Plaintiff and other members of the Class false and misleading representations and concealed or failed to disclose material facts concerning the features, benefits, performance, safety, and risks of the PDX Policies with the intent to deceive prospective Policyowners.

130. When making those material misrepresentations and omissions, PacLife knew that, or recklessly disregarded whether, they were false or misleading.

131. With specific respect to its alleged omissions, PacLife had a duty to disclose above

1 and beyond the general tort obligation not to mislead. A duty to disclose arises: (a) when the
2 defendant had exclusive knowledge of material facts not known to the plaintiff; (b) when the
3 defendant actively conceals a material fact from the plaintiff; or (c) when the defendant makes
4 partial representations but also suppresses some material facts. *LiMandri v. Judkins*, 52 Cal. App.
5 4th 326, 336 (1997). All three grounds are applicable here: (1) PacLife chose for its own benefit to
6 depict product performance based on assumptions unknown to Plaintiff that lacked any reasonable
7 basis in fact; (2) PacLife concealed material facts concerning the Performance Factor and other
8 critical information; and (3) once PacLife chose to depict PDX Policy performance as part of a
9 transaction between it and Plaintiff, PacLife assumed a duty to tell the whole truth, not just
10 misleading half-truths, but furthermore on the duty to disclose where, as here, one makes
11 affirmative misrepresentations and “half-truth” which are themselves misleading in absence of the
12 omitted information.
13

14
15 132. PacLife intended that its misrepresentations and omissions would induce Plaintiff
16 and Class members to purchase PDX Policies.

17 133. Unaware of the material omissions and the falsity of the representations, Plaintiff
18 and the other Class members justifiably relied on them.

19 134. Those misrepresentations and omissions were a substantial factor in causing
20 Plaintiff and the other Class members to purchase PDX Policies and, consequently, sustain
21 economic injuries.
22

23 135. Therefore, PacLife is liable to Plaintiff and the other members of the Class for
24 California common law fraud, deceit, and intentional misrepresentation.

25 136. There are two measures of compensatory damages for fraud: out-of-pocket and
26 benefit of the bargain. *Stout v. Turney*, 22 Cal.3d 718, 725(1978). The “out-of-pocket” measure of
27

1 damages “is directed to restoring the plaintiff to the financial position enjoyed by him prior to the
2 fraudulent transaction, and thus awards the difference in actual value at the time of the transaction
3 between what the plaintiff gave and what he received. The “benefit-of-the-bargain” measure, on
4 the other hand, is concerned with satisfying the expectancy interest of the defrauded plaintiff by
5 putting him in the position he would have enjoyed if the false representation relied upon had been
6 true; it awards the difference in value between what the plaintiff actually received and what he was
7 fraudulently led to believe he would receive.”

8
9 137. In pursuing a valid fraud action, a plaintiff advances the public interest in punishing
10 intentional misrepresentations and in deterring such misrepresentations in the future. *Lazar v.*
11 *Superior Ct.*, 12 Cal.4th 631, 646 (1996). Because of the extra measure of blameworthiness
12 inhering in fraud, and because in fraud cases California courts are not concerned about the need
13 for “predictability about the cost of contractual relationships,” fraud plaintiffs may recover “out-
14 of-pocket” damages **in addition to** benefit-of-the-bargain damages. *Id.*; *accord*, Cal Civ. Code §
15 3343 (“One defrauded in the purchase, sale or exchange of property is entitled to recover the
16 difference between the actual value of that with which the defrauded person parted and the actual
17 value of that which he received, together with any additional damage arising from the particular
18 transaction, including” certain enumerated damages such as lost profits.)

19
20 138. Alternatively, a person fraudulently induced to enter a contract may under
21 California law elect the equitable remedy rescission and restitution. *All. Mortg. Co. v. Rothwell*,
22 10 Cal. 4th 1226, 1240(1995). An election of remedies is required only after a decision on the
23 merits and prior to the entry of judgment. *Ram's Gate Winery, LLC v. Roche*, 235 Cal. App. 4th
24 1071, 1087 (2015).

139. Furthermore, an award of punitive damages is warranted, as a deterrent to PacLife and others in its fraud-prone industry, and to vindicate and compensate Plaintiff and the other members of the Class for the reckless or willful invasion of their rights. PacLife's tortious conduct evinced indifference to or reckless disregard of Plaintiff's interests, targeted many Policyowner's financial vulnerability, involved thousands of repeated actions (rather than an isolated incident), and the harm to Plaintiff and the other members of the Class was result of trickery and deceit (and no mere accident). PacLife has been defrauding the public with PDX Policies since 2017, and while it was forced to discontinue issuing new PDX Policies, it *still* enforces its executory PDX Policies. Moreover, in 2019, PacLife was worth \$171 billion with \$1.1 trillion in life insurance in force, much of which is attributable to fraud. Furthermore, due to such wealth, punitive damages are necessary to sufficiently deter and punish PacLife.

COUNT II
Negligent Misrepresentation
(Plaintiff on Behalf of Herself and the Class)

140. Plaintiff repeats and realleges all prior allegations as if fully set forth herein.

141. PacLife made false and misleading statements to Plaintiff and Class members concerning the features, benefits, performance, safety, and risks of the PDX Policies.

142. PacLife intended that Plaintiff and Class members would rely on the false and misleading representations and had no reasonable grounds for believing that its representations were true when it made them.

143. Plaintiff and Class members justifiably relied on PacLife's false and misleading statements.

144. PacLife's false and misleading statements were a substantial factor in causing Plaintiff and Class members to purchase the PDX Policies and, consequently, sustain damages.

145. Therefore, PacLife is liable for the negligent misrepresentations that it made to Plaintiff and Class members.

146. The measure of compensatory damages for negligent misrepresentation is out-of-pocket losses.

147. As with common law fraud, the victim of common law negligent misrepresentation may elect relief in the form of rescission and restitution, after a decision on the merits and prior to the entry of judgment.

COUNT III
Violation of Cal. Bus. & Prof. Code § 17200, et. seq.
(Plaintiff on behalf of Herself and the Class)

148. Plaintiff repeats and realleges the allegations contained in the paragraphs above, as if fully set forth herein.

149. Section 17200 of the California Business and Professions Code (“UCL”) prohibits “any unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising.” Cal. Bus. & Prof. Code § 17200.

150. PacLife committed acts of unfair competition by engaging in the wrongful practices alleged above, which are alternatively actionable under all three prongs of the UCL.

151. PacLife's materially misleading use and description of the Performance Factor and other nonguaranteed elements in its standardized illustrations, marketing materials, and policy documents used to market the PDX Policies were a substantial factor causing Plaintiff and other similarly situated persons in California to purchase PDX Policies and sustain economic injuries as a result of the deception.

- **The Unlawful Prong**

152. The “unlawful” prong of the UCL treats violations of other federal, state,

1 regulatory, or court-made law as unlawful business practices independently actionable under state
2 law.

3 153. The standardized PDX Illustrations, PDX Policy marketing materials, and PDX
4 Policy documents used to market the PDX Policies were unlawful and in violation of the
5 following California statutes:

- 6 • Cal. Ins. Code § 790.02 (“No person shall engage in this State in any trade practice
7 which is defined in this article as, or determined pursuant to this article to be, an unfair
8 method of competition or an unfair or deceptive act or practice in the business of
9 insurance.”);
- 10 • Cal. Ins. Code § 790.03(a) (defining as unfair methods of competition and unfair
11 and deceptive acts or practices in the business of insurance the “[m]aking, issuing,
12 circulating, or causing to be made, issued or circulated, any estimate, illustration, circular,
13 or statement misrepresenting the terms of any policy issued or to be issued or the benefits
14 or advantages promised thereby....”);
- 15 • Cal. Ins. Code § 780 (“An insurer ... shall not cause or permit to be issued,
16 circulated or used, any statement that is known, or should have been known, to be a
17 misrepresentation of the ... terms of a policy issued by the insurer [or] ... [t]he benefits
18 or privileges promised thereunder....”);
- 19 • Cal. Ins. Code § 332 (“Each party to a contract of insurance shall communicate to
20 the other, in good faith, all facts within his knowledge which are or which he believes to
21 be material to the contract and as to which he makes no warranty, and which the other has
22 not the means of ascertaining.”);
- 23 • Cal. Ins. Code § 331 (“Concealment, whether intentional or unintentional, entitles
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the injured party to rescind insurance.”);

- Cal. Ins. Code § 10509.955(b)(2) (Life insurance illustration may not “[u]se or describe nonguaranteed elements in a manner that is misleading or has the capacity or tendency to mislead.”);

- Cal. Ins. Code § 10509.955(c) (“If an interest rate used to determine the illustrated nonguaranteed elements is shown, it shall not be greater than the earned interest rate underlying the disciplined current scale.”);

- Cal. Ins. Code § 10509.956(a)(7) (“If the illustration shows any nonguaranteed elements, they cannot be based on a scale more favorable to the policy owner than the insurer’s illustrated scale at any duration. These elements shall be clearly labeled nonguaranteed.”);

- Cal. Ins. Code § 10509.956(b)(3) (Basic illustration must include “[a] brief description of any policy features, riders or options, guaranteed or nonguaranteed, shown in the basic illustration and the impact they may have on the benefits and values of the policy.”);

- Cal. Ins. Code § 10509.956(b)(4) (Basic illustration must include “[i]dentification and a brief definition of column headings and key terms used in the illustration.”);

- Cal. Ins. Code § 10509.956(e)(3) (“Nonguaranteed elements may be shown [in the illustration only] if described in the contract....”);

- Cal. Ins. Code § 10509.960(c)(5) (“Nonguaranteed elements illustrated for both new and in force policies that are not consistent with the nonguaranteed elements actually being paid, charged or credited to the same or similar forms shall be disclosed in the annual certification.”); and

- Cal. Civ. Code § 1709 (“One who willfully deceives another with intent to induce him to alter his position to his injury or risk, is liable for any damage which he thereby suffers.”).

154. Specifically with respect to her citation to Cal. Ins. Code § 790.03(a), Plaintiff further alleges that the UCL violations occurred in the specific context of first-party false advertising and fraudulent inducement by PacLife, conduct that gives rise to independently actionable claims of common law fraud as well as violations of Cal. Ins. Code §§ 780 and 331-32, and Cal. Civ. Code § 1709. PacLife thus engaged in misconduct that allegedly violated § 790.03 in addition to obligations imposed by other statutes and the common law.

155. Plaintiff is informed and believes and, on that basis, alleges that the “unlawful” practices alleged above are continuing in nature and are widespread practices engaged in by PacLife.

- **Unfair Prong**

156. A claim under the UCL’s “unfair” prong is predicated on a business practice that violates established public policy or is immoral, unethical, oppressive or unscrupulous and causes injury to consumers which outweighs its benefits.

157. PacLife violated the “unfair” prong by engaging in the business acts or practices alleged above by which it has been unjustly enriched. Because the utility of PacLife’s conduct is outweighed by the gravity of harm to Plaintiff and the other members of the Class, and the market, PacLife’s conduct is “unfair” having offended an established public policy. Furthermore, as alleged above, PacLife intentionally sought to evade the requirements of AG 49, thereby violating the intention and spirit of those regulatory requirements.

158. As alleged above, PacLife has engaged in immoral, unethical, oppressive, and

1 unscrupulous activities that are reasonably avoidable and substantially injurious to the public at
2 large. There were reasonably available alternatives to further PacLife’s legitimate business
3 interests other than the conduct described herein.

4 159. PacLife furthermore violated UCL “unfair” prong based on its violations of Cal.
5 Ins. Code §§ 790.02 & 790.03(a), Cal. Ins. Code § 780, Cal. Ins. Code §§ 331-32, and Cal. Civ.
6 Code § 1709.

7
8 160. Plaintiff is informed and believes and, on that basis, alleges that the “unfair”
9 practices alleged above are continuing in nature and are widespread practices engaged in by
10 PacLife.

11 • **Fraudulent Prong**

12 161. Conduct is “deceptive” within the meaning of the UCL’s “fraudulent” prong when
13 members of the public are likely to be deceived by the practice.

14
15 162. PacLife’s materially misleading use and description of the Performance Factor and
16 other nonguaranteed elements in its standardized illustrations, marketing materials, and policy
17 documents used to market the PDX Policies is likely to deceive members of the public. Plaintiff
18 and other similarly situated persons in California have suffered economic injury as a result of the
19 deception.

20 163. Reliance on PacLife’s uniform misrepresentations and omissions concerning the
21 description of the Performance Factor and the depicted performance of the PDX Policies in its
22 illustrations, marketing materials, and policy documents is reasonably inferred because such
23 information is something a reasonable person would attach importance to in determining his or
24 her choice of action in the transaction in question.

25
26 164. Plaintiff is informed and believes and, on that basis, alleges that the “fraudulent”
27

practices alleged above are continuing in nature and are widespread practices engaged in by PacLife.

- **UCL Standing**

165. Under the UCL, private standing is afforded to any person “who has suffered injury in fact and has lost money or property as a result of the unfair competition.” Cal. Bus. & Prof. Code § 17204. To satisfy this standing requirement, a plaintiff must: (1) establish a loss or deprivation of money or property sufficient to qualify as injury in fact, i.e., economic injury, and (2) show that the economic injury was the result of, i.e., caused by, the unfair business practice or false advertising that is the gravamen of the claim.

166. As alleged above, since the date of issuance the PDX Policy has cost Plaintiff not only the lost use of \$17,000 in out-of-pocket losses, but the PDX Policy she purchased was itself worth less than she paid for it on the date of issuance, causing her to suffer economic injury in fact and loss of money or property as a result of PacLife’s wrongful actions. Plaintiff thus has statutory standing to assert her UCL claim on behalf of herself and the other members of the Class.

- **UCL Relief Sought**

167. Cal. Bus. & Prof. Code § 17203 authorizes courts to make “such orders or judgments ... as may be necessary to prevent the use or employment by any person of any practice which constitutes unfair competition, as defined in this chapter, or as may be necessary to restore to any person ... any money or property ... which may have been acquired by means of such unfair competition.”

168. Cal. Bus. & Prof. Code § 17535 provides: “Any person, corporation, firm, partnership, joint stock company, or any other association or organization which violates or

1 proposes to violate this chapter may be enjoined by any court of competent jurisdiction. The court
2 may make such orders or judgments, including the appointment of a receiver, as may be necessary
3 to prevent the use or employment by any person, corporation, firm, partnership, joint stock
4 company, or any other association or organization of any practices which violate this chapter, or
5 which may be necessary to restore to any person in interest any money or property, real or
6 personal, which may have been acquired by means of any practice in this chapter declared to be
7 unlawful.”
8

9 169. Plaintiff accordingly seeks restitution, rescission, and other equitable relief for
10 PacLife’s UCL violations, the appropriateness of which will be determined by common evidence.

11 170. On behalf of the general public and the Class, Plaintiff respectfully requests that
12 this Court order that PacLife make available to the Plaintiff and other members of the Class
13 equitable relief, at their election, of either:
14

15 a. Rescission and restitution of all amounts wrongfully acquired, obtained and
16 collected as the result of PacLife’s alleged misconduct, but subject, as always in the case
17 of equitable rescission, to offset for any benefits received in the interim, plus prejudgment
18 interest; or

19 b. Court-ordered payment of the “intrinsic value” relief based on statistical or other
20 proof of the difference between the values or charges shown in the PDX Illustrations and
21 the values or charges that would have applied absent the misleading representations and
22 omission, plus prejudgment interest.
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1 **PRAYER FOR RELIEF**

2 WHEREFORE, Plaintiff, individually and on behalf of the Class, prays for relief as follows
3 as applicable for the particular cause of action:

4 A. An Order certifying this action to proceed on behalf of the Class and appointing
5 Plaintiff and the counsel listed below to represent the Class;

6 B. An Order awarding Plaintiff and the other members of the Class compensatory,
7 statutory, punitive, and exemplary damages, restitution, disgorgement, and such other monetary
8 relief and/or equitable relief as the Court deems proper;

9 C. An Order awarding Plaintiff's attorneys' fees, expert witness fees, and other costs
10 pursuant to the state statutory causes of action set forth above that permit such an award;

11 D. An Order awarding pre- and post-judgment interest on the above amounts; and

12 E. An Order awarding such other and further relief as may be just and proper.
13
14

15 **DEMAND FOR JURY TRIAL**

16 Plaintiff demands a jury trial.
17

18 DATED: June 29, 2021

**BONNETT FAIRBOURN FRIEDMAN
& BALINT, PC**

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